



ROYAL LONDON SUSTAINABLE GROWTH FUND

31.12.23

FUND OVERVIEW

Fund Manager(s)	Sebastien Beguelin, George Crowdy, Mike Fox
Fund Size	£111.49m
Domicile	United Kingdom
ISA	Eligible
Investment Association Sector	IA Mixed Investment 40-85% Shares
Currency	GBP
Initial Charge	0.0%
Fund Management Fee (FMF):	M Acc: 0.77% Z Acc: 0.62%

Share Class M GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£100,000
SEDOL	BMV9236
Mid Price	114.80p
Historic Yield	1.33%

Share Class Z GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£3,000,000
SEDOL	BMV9247
Mid Price	115.00p
Historic Yield	1.43%

Overview

The Fund's investment objective is to achieve capital growth over the medium term, which should be considered as a period of 3-5 years, by investing in a diverse range of equity and fixed income assets. Investments in the Fund will adhere to the Investment Manager's ethical and sustainable investment policy. The Fund is actively managed, meaning that the Investment Manager will use their expertise to select investments to meet the objective. The IA Mixed Investments 40-85% Shares sector is considered an appropriate benchmark for performance comparison.

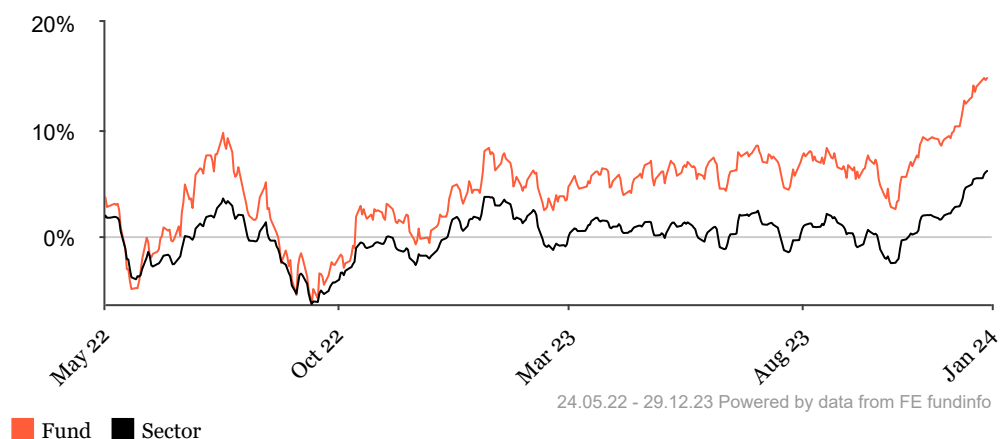
Year-on-year performance

	31.12.22 to 31.12.23	31.12.21 to 31.12.22	31.12.20 to 31.12.21	31.12.19 to 31.12.20	31.12.18 to 31.12.19
Share Class M GBP (Acc)	14.1%	-	-	-	-
Share Class Z GBP (Acc)	14.3%	-	-	-	-

Cumulative Performance (as at 31.12.23)

	3 Months	6 Months	1 Year	3 Years	5 Years
Share Class M GBP (Acc)	7.6%	7.3%	14.1%	-	-
Share Class Z GBP (Acc)	7.7%	7.4%	14.3%	-	-
IA Sector Average	5.8%	5.6%	8.1%	7.9%	31.5%
Quartile Ranking	1	1	1	-	-

Performance Chart



Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.

Source: RLAM and FE fundinfo as at 31.12.23. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.



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Fund Managers(s)**Sebastian Beguelin**

Co-manager
Fund Manager tenure:
24.05.22

-
-

**George Crowdy**

Co-manager
Fund Manager tenure:
24.05.22

-
-

**Mike Fox**

Co-manager
Fund Manager tenure:
24.05.22



-

Yield Definitions

The historic yield reflects distributions declared over the past twelve months as a percentage of the mid-market price, as at the date shown. It does not include any preliminary charge and investors may be subject to tax on their distributions. Reported yields reflect RLAM's current perception of market conventions around timing of bond cash flows.

Important Information

This is a financial promotion and is not investment advice.

The Fund is a sub-fund of Royal London Equity Funds ICVC, an open-ended investment company with variable capital with segregated liability between sub-funds, incorporated in England and Wales under registered number IC000807. The Authorised Corporate Director (ACD) is Royal London Unit Trust Managers Limited, authorised and regulated by the Financial Conduct Authority, with firm reference number 144037. For more information on the fund or the risks of investing, please refer to the Prospectus or Key Investor Information Document (KIID), available via the relevant Fund Information page on www.rlam.com.

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Source: RLAM, FE fundinfo and HSBC as at 31.12.23, unless otherwise stated. Yield definitions are shown above.

Our ref: FS RLAM PD 0112

Breakdowns exclude cash and futures.

Fund Commentary

November was a strong month for risk assets. Markets rose on hopes of an economic soft landing coupled with an expectation that central banks will pivot and start to reduce interest rates. The inflation data across Europe and the US continued to demonstrate inflationary pressures are receding, and this was highlighted in November by a significant fall in the oil price. As a result of the more positive inflation outlook bond prices rose, with US treasuries experiencing their largest gains in any one month since 1985. The MSCI World Index rose by 4.9% in sterling terms, while in the UK, the FTSE All-Share rose by 3%. The best performing sectors included technology and real estate, where the latter has significantly underperformed since rates started to rise. Valuations in both sectors should be major beneficiaries of falling discount rates. Technology rose 9% and real estate sector rose by 7.1% during the month, whilst the more defensive areas such as energy fell by 3.7%.

The Sterling credit market performed strongly in November, returning 2.97%, and taking the year-to-date return to 4.1%. This was driven by both falling gilt yields and tighter credit spreads. The yield on ten-year government bonds fell 32bps to end the month at 4.18%, driven by investor expectations that central bank rates have peaked. Credit spreads tightened 13bps to 1.21%, their tightest level in over eighteen months.

The fund outperformed in November and was ranked in the first quartile relative to its peer group.

The fund's top contributors to performance in November included Latin American eCommerce and payments firm Mercadolibre, which published positive financial results. Other key performers included specialist chemical distributor IMCD. Shares of electrical products maker Schneider went up after publishing new long-term targets. Detractors included sterilisation specialist Steris, following concerns about capital equipment deliveries in its results. Shares of Asian insurer AIA Group were also weak due to continued weak China macroeconomic environment.

The fund began a new position in Comfort Systems, the leading installer of heating, ventilation and air conditioning systems in the United States. The business is well placed to focus on the decarbonisation of buildings, along with data centre growth and reshoring of manufacturing capacity. We also added to positions in Mercadolibre and internet search firm Alphabet.

Sector Breakdown

	Fund
Fixed Income	26.1%
Technology	19.6%
Industrials	19.1%
Financials	11.2%
Health Care	11.0%
Consumer Discretionary	6.4%
Basic Materials	3.8%
Utilities	1.6%
Consumer Staples	1.3%

Top 10 Holdings as at 30.11.23

	Fund
MICROSOFT CORP	3.6%
ALPHABET INC CLASS A	3.3%
VISA INC CLASS A	3.2%
SCHNEIDER ELECTRIC	2.8%
CANADIAN NATIONAL RAILWAY	2.7%
THERMO FISHER SCIENTIFIC INC	2.6%
TAIWAN SEMICONDUCTOR MANUFACTURING	2.5%
LONDON STOCK EXCHANGE GROUP PLC	2.5%
ASTRAZENECA PLC	2.4%
LOREAL SA	2.4%

No of Holdings**215**

Every effort is made to ensure the accuracy of any information provided but no assurances or warranties are given. Nothing in this factsheet should be construed as advice and is therefore not a recommendation to buy or sell shares.

ESG Terms and Definitions

ESG Integration: The systematic and explicit inclusion of environmental, social and governance (ESG) factors into investment analysis and investment decisions.

Promotes Environmental or Social

Factors: : An ESG Fund promotes, among other characteristics, environmental or social characteristics, or a combination of those characteristics, provided that the companies in which the investments are made follow good governance practices.

Sustainable Fund Objective: A product that has sustainable investment or a reduction in carbon emissions as its objective.

Exclusions: Explicitly prohibits investing in a particular company, sector, business activity, country or region.

ESG Metrics Explanation

Carbon Footprint: Exposure to high emitters in the portfolio, expressed in tCO₂e/\$M invested. Financed emissions (explained above) are divided by the portfolio value, the same approach for listed companies and private issuers is applied in this metric.

Financed Emissions: The emissions from activities in the real economy that are financed through lending and investment portfolios, expressed in tCO₂e. Emissions are attributed to a portfolio based on the portion of the company's value the portfolio holds, and using different accounting values for public and private corporates. We provide financed emissions for scope 1 and 2 emissions.

Weighted Average Carbon Intensity:

Portfolio's exposure to carbon-intensive companies, expressed in tCO₂e / \$M revenue. Scope 1 and scope 2 GHG emissions are divided by companies revenues, then multiplied based on portfolio weights (the current value of the investment relative to the current portfolio value). The WACI is calculated as a weighted average sum of the holdings with carbon intensity coverage.

ESG Characteristics Rationale

The Fund focuses on the sustainability of the products and services of the companies it invests in, as well as their standards of environmental, social, governance ("ESG") management, alongside financial analysis. The investment approach is fundamentally based on positive screening; identifying companies that are making a positive contribution towards a cleaner, healthier, safer and more inclusive society, through assessing both what a company does and how it does it, and through active engagement to encourage continual improvement. The fund will not invest in companies that undertake business activities deemed to be detrimental to society and that breach our Do No Significant Harm principle. Further details of the Funds Sustainable Investment process can be found in the ethical and sustainable investment policy at www.rlam.com

ESG Characteristics

	Yes	No
ESG Integration	✓	
Promotes Environmental or Social Characteristics	✓	
Sustainable Fund Objective	✓	
Additional Exclusions*	✓	

*RLAM has a controversial weapons exclusion across all investments

Our Fund Restrictions

 Adult Entertainment	✓	 High Environmental Impact	✓
 Alcohol	✓	 Human Rights Issues	✓
 Animal Welfare	✓	 Nuclear Power	✓
 Armaments	✓	 Nuclear Weapons	✓
 Controversial Weapons	✓	 Tobacco	✓
 Fossil Fuels	✓		
 Gambling	✓		

Details of avoidance and/or exclusion criteria: <https://www.rlam.com/globalassets/media/literature/policies/rlam-ethical-and-sustainable-investment-policy.pdf>

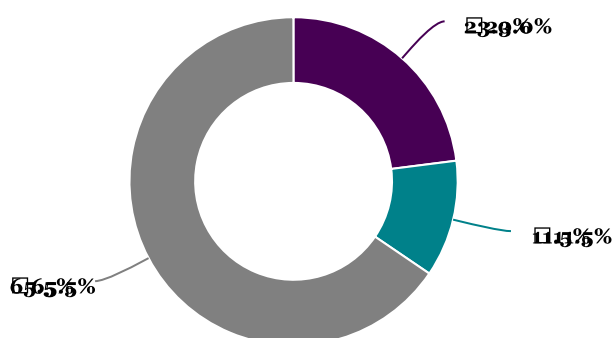
ESG Metrics*

	Portfolio	Benchmark	Difference
Carbon Footprint	9.9	0.0	0.0%
Carbon Footprint Coverage	84.0%	0.0%	-
Financed Emissions	1,300.11	0.00	0.0%
Financed Emissions Coverage	84.0%	0.0%	-
Weighted Average Carbon Intensity	50.5	0.0	0.0%
Weighted Average Carbon Intensity Coverage	95.3%	0.0%	-

*data as at 30/06/2023

Fund Stewardship Activity*

Engagement Topics



● Climate - Transition Risk ● Corporate Governance ● Others

*Data as at 31st December 2022 for the calendar year 2022. Data includes activity led by the Investment Manager and Responsible Investment teams.

CONTACT DETAILS

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Telephone calls may be recorded. For further information please see the privacy policy at <http://www.rlam.com>.

Key Concepts to Understand

Bonds: are defined as fixed-income investments issued as debt by companies and public bodies to raise finance. Investors in bonds receive a previously agreed, non-variable interest payment until the investment matures. Corporate bonds are those issued by companies to raise finance.

Capital Growth: The rise in an investment's value over time.

Derivative: A financial instrument whose price is dependent upon or derived from one or more underlying asset.

Equities: Securities that represent an ownership interest in a company.

Environmental, social and governance: A list of predefined criteria that determines how a company operates in terms of sustainability and overall corporate governance.

Efficient Portfolio Management (EPM) Techniques The Fund may engage in EPM techniques including holdings of derivative instruments. The use of these instruments may expose the Fund to volatile investment returns and increase the volatility of the net asset value of the Fund. EPM techniques may involve the Fund entering into transactions with counterparties where there may be a risk of counterparty default. The Fund's ability to use EPM strategies may be limited by market conditions, regulatory limits and tax considerations.

Fund Risks

Investment Risk: The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.

Counterparty Risk: The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.

Emerging Markets Risk: Investing in Emerging Markets may provide the potential for greater rewards but carries greater risk due to the possibility of high volatility, low liquidity, currency fluctuations, the adverse effect of social, political and economic instability, weak supervisory structures and accounting standards.

EPM Techniques: The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.

Exchange Rate Risk: Investing in assets denominated in a currency other than the base currency of the Fund means the value of the investment can be affected by changes in exchange rates.

Liquidity Risk: In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.

Responsible Investment Style Risk The Fund can only invest in holdings that demonstrate compliance with certain sustainable indicators or ESG characteristics. This reduces the number of securities in which the Fund can invest and there may as a result be occasions where it forgoes more strongly performing investment opportunities, potentially underperforming non-sustainable funds.